17 April 2014

Circular to Management Companies and Trustees of SFC-authorized Hong Kong domiciled funds

1. The purpose of this circular is to clarify the application of certain provisions in the revised Trustee Ordinance (Cap.29) regarding liabilities of trustees to SFC-authorized funds which are constituted as a trust under Hong Kong laws ("Hong Kong domiciled funds").

Background

2. The Trustee Ordinance was revised with effect from 1 December 2013 following the enactment of the Trust Law (Amendment) Ordinance 2013.

3. The revised Trustee Ordinance introduces, among other things, statutory powers for appointment of agents, nominees and custodians, as well as provisions regarding the review of, and liability for, such agents, nominees and custodians.

4. Specifically, section 41O of the revised Trustee Ordinance provides that a trustee of a trust is not liable for any act or omission of an agent, nominee or custodian acting for the trust if the trustee has discharged the statutory duty of care applicable to the trustee imposed under the revised Trustee Ordinance.

5. Section 41L(3) of the revised Trustee Ordinance further provides that, if the application of section 41O of the revised Trustee Ordinance in a case is inconsistent with the terms of the instrument creating the trust or an enactment, then that section will not apply to that case.

6. The revised Trustee Ordinance also introduces statutory controls on exemption provisions. Generally, a trustee cannot be exempted from liability for a breach of trust arising from the trustee's own fraud, wilful misconduct or gross negligence, or be indemnified against trust property for such liability[1].

Application

7. Safe custody of a fund's assets is a key obligation of the trustee/custodian of SFC-authorized funds under the SFC Handbook for Unit Trusts and Mutual Funds, Investment-Linked Assurance Schemes and Unlisted Structured Investment Products ("SFC Handbook"), including the Code on Unit Trusts and Mutual Funds ("UT Code").

8. Under 4.5(a)(iii) of the UT Code, the trustee/custodian must be liable for the acts and omissions of its nominees and agents in relation to assets forming part of the property

[1] See section 41W of the revised Trustee Ordinance

of the fund. The standards expected of trustee/custodian in this connection are further elaborated in Question 11A of the Frequently Asked Questions on the UT Code.

9. Moreover, 6.6 of the UT Code also provides that nothing in the constitutive documents of an SFC-authorized fund may provide that the trustee/custodian can be exempted from any liability to holders imposed under Hong Kong law or breaches of trust through fraud or negligence, nor may they be indemnified against such liability by holders or at holders' expense.

10. In light of recent discussions with industry participants, it is hereby clarified for the avoidance of doubt that trustees of SFC-authorized Hong Kong domiciled funds shall continue to be subject to the requirements concerning liability of trustee/custodian under the SFC Handbook, including 4.5(a)(iii) and 6.6 of the UT Code (the "Code Requirements") notwithstanding any provisions in the revised Trustee Ordinance.

11. In particular, to put it beyond doubt that section 41O of the revised Trustee Ordinance shall not operate to affect the application of the Code Requirements on Hong Kong domiciled funds, management companies and trustees of Hong Kong domiciled funds should note the following:

New Hong Kong domiciled funds seeking SFC's authorization

(a) New funds constituted in the form of a trust to be established under the laws of Hong Kong seeking SFC's authorization are expected to include the clarificatory provisions in their trust deeds[2] to the effect that - for so long as the relevant fund is authorized by the Commission under section 104 of the Securities and Futures Ordinance ("SFO"), section 41O of the revised Trustee Ordinance shall not apply to the extent that is inconsistent with the clause in the trust deed reflecting 4.5(a)(iii) of the UT Code and/or with the trustee's duties and responsibilities under the SFC Handbook, and shall not in any way operate to exempt or diminish any liability of the trustee as set out in the relevant clause in the trust deed reflecting 6.6 of the UT Code.

Existing SFC-authorized Hong Kong domiciled funds

(b) Trustees of all existing SFC-authorized Hong Kong domiciled funds shall confirm to the Commission in writing as soon as reasonably practicable and in any event within 1 month from the date of this circular that (i) for so long as the relevant fund is authorized by the Commission under section 104 of the SFO, it shall not rely on section 41O of the revised Trustee Ordinance to the extent that is inconsistent with the clause in the trust deed of the fund reflecting 4.5(a)(iii) of the UT Code and/or with the trustee's duties and responsibilities under the SFC Handbook; and (ii) it shall not rely on section 41O of the revised Trustee Ordinance to exempt or diminish any of its liability as set out in the relevant clause in the trust deed reflecting 6.6 of the UT Code. Alternatively, trustees may also provide a legal opinion acceptable to the Commission confirming the

[2] References to "trust deed" in this paragraph 11 shall include the trust deed and/or other relevant constitutive documents of the subject fund

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application of section 41O of the revised Trustee Ordinance to the same effect as the clarificatory provisions referred in paragraph (a) above.

(c) Management companies and trustees of existing SFC-authorized Hong Kong domiciled funds shall amend their trust deeds to include the clarificatory provisions referred in (a) above as soon as reasonably practicable, and in any event in the next round of amendments to their trust deeds[3]. The revised trust deeds shall be duly filed with the Commission in accordance with the requirements in the UT Code.

General

12. If in doubt concerning the requirements under the SFC Handbook, management companies and trustees should seek appropriate professional advice.

13. If you wish to clarify any aspects of this circular, please contact the relevant case officer in charge.

Investment Products Division
Securities and Futures Commission

[3] Under 6.7 of the UT Code, the constitutive documents may be altered by the management company and trustee without consulting holders, provided that the trustee certifies in writing that in its opinion the proposed alteration is, among other things, necessary to make possible compliance with fiscal or other statutory or official requirements. Whether any prior notice to holders would be required would depend on the nature of the other amendments proposed to be made to the relevant trust deed in accordance with the requirements of the UT Code.

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